VESC

Every Venezuelan Bolívar backed by USDC. On-chain. Always.

Built by Coco Wallet · Y Combinator-backed

Abstract. We propose an on-chain exchange protocol that allows anyone to hold, transfer, and settle value denominated in Venezuelan Bolívares, fully collateralized by USDC in a non-custodial smart contract vault. VESC is designed to serve as the default settlement layer for Venezuela's primary dollar flows: remittances, oil and energy exports, and strategic mineral trade, routing each through open, programmable rails at the real USD/VES market rate. Unlike synthetic assets, VESC maintains full dollar-equivalent reserves at all times. Unlike centralized exchanges, there is no counterparty risk. By unifying these flows on-chain, VESC creates the interoperable financial infrastructure Venezuela needs to integrate with global capital markets and leapfrog its legacy banking system entirely. Any developer who routes transactions through VESC earns a direct share of the protocol fee, paid in VESG governance tokens. The governance model is intentionally open: the fee structure, token distribution, and long-term protocol parameters are designed to be shaped by the builders and institutional partners who help this infrastructure reach scale. The ultimate objective is clear: aggregate every major Venezuelan dollar flow through a single, open, on-chain settlement layer large enough to compress the *brecha cambiaria* and permanently close the Venezuelan FX gap.

- **VESC** Venezuelan Soberan Coin. A bolívar-denominated, USDC-collateralized settlement token.
- **VESG** Venezuelan Soberan Governance. A fixed-supply governance token earned by builders through protocol activity. Governance parameters open to institutional design partners.

1. The Problem

Venezuela was once Latin America's wealthiest economy, with GDP peaking above $480 billion in 2012. A decade of collapse brought it below $90 billion by 2020. It is now rebuilding: four consecutive years of GDP growth, oil production recovering toward one million barrels per day, U.S. sanctions easing, and a dollarized, crypto-native middle class that did not exist five years ago. The IMF projects continued growth through 2027. A $480 billion economy rebuilding from $90 billion is one of the largest addressable recovery markets on earth.

The obstacle standing between Venezuela and that recovery is the exchange rate. The Banco Central de Venezuela rate, set at approximately 425.67 VES per U.S. dollar, does not reflect what dollars actually cost. The real market rate is approximately 608 VES per dollar. The gap between them, the *brecha cambiaria*, stands at 43% and has widened more than 60% over the past 12 months. This spread is a wealth transfer extracted from every dollar transaction in Venezuela. It persists because no trusted, open infrastructure exists to settle at the real rate. VESC is that infrastructure.

USDT is already widely used in Venezuela as a store of value, but everyday payments still happen in Bolívares. The government requires merchants to price Bolívar transactions at the official VES/USD rate, which is artificially suppressed below the real market rate. This makes Bolívar payments cheaper in practice, so even people who save in USDT still transact in Bolívares. The result is a two-tier economy: dollars for savings, Bolívares for spending, and a structural FX gap exploited at every conversion point in between.

Three dollar flows are large enough to matter. All three currently move through opaque intermediaries at 5 to 15% cost:

- **Remittances.** Venezuela's eight million diaspora sends over $4 billion per year back home. Every dollar passes through operators extracting 5–15% in fees and spread, draining $200–600 million from families annually. VESC settles these flows at the real market rate with a 0.2% fee.

- **Oil and energy exports.** Revenue flows through opaque intermediaries and politically captured institutions. Venezuela currently exports approximately 700,000 barrels per day, generating an estimated $15–18 billion annually. As U.S. sanctions continue to ease and PDVSA production recovers toward its 1 million bpd target, independent analysts project oil export revenues reaching $20–25 billion per year by 2027–28. VESC provides an auditable, programmable settlement layer for every dollar of that revenue that moves on-chain.

- **Mineral exports.** Gold, coltan, and strategic minerals generate an estimated $1–2 billion annually through opaque, state-controlled channels. On-chain settlement via VESC brings these flows into a verifiable, auditable layer.

The window is open now. Sanctions are shifting, a new generation of entrepreneurs is building outside legacy systems, and global capital markets are integrating on-chain settlement. Venezuela can skip the

correspondent banking era and go directly to programmable, dollar-collateralized money. That opportunity is measured in months, not years.

2. How VESC Works

VESC is simple. A user deposits USDC into a smart contract vault. The vault issues VESC at the current USD/VES market rate, sourced from an on-chain oracle. When the user wants dollars back, they return VESC to the vault. The vault burns the VESC and releases USDC at the then-current rate, minus a small redemption spread and a 0.2% protocol fee. Every VESC in circulation is backed by USDC in the vault at all times. There is no fractional reserve and no counterparty risk.

Action	What happens	Fee
Mint	User deposits USDC. Vault issues VESC at the oracle rate.	None
Hold	VESC circulates freely. Fully backed by USDC in the vault at all times.	None
Burn	User returns VESC. Vault releases USDC at oracle rate minus spread.	0.2% protocol fee + spread

The redemption spread is not arbitrary. It is calculated from the 24-hour VES devaluation rate and published on-chain before every transaction. In a stable market it is 0.5%. During a crisis it rises to 5%. At maximum spread, VESC is still dramatically cheaper than any remittance operator or parallel exchange. The rate is set by the oracle, not by any human. No one can manipulate it.

> THE GUARANTEE: Every VESC is backed by USDC in the vault. Always.
> Burns always execute. USDC withdrawals are never gated by governance or team action.
> 608 VESC = $1.00 USDC in the vault at today's rate.

3. Built for Builders

VESC is designed to be integrated, not just used. Any remittance app, exchange house, fintech, or developer that routes transactions through VESC earns a direct share of the protocol fee in VESG governance tokens. There is no application process, no revenue share negotiation, and no contract to sign. Register a wallet address, route burns through it, and the protocol pays you automatically on every transaction.

Who	What they do	What they receive
Remittance app	Routes diaspora transfers through VESC burns	VESG on every burn routed

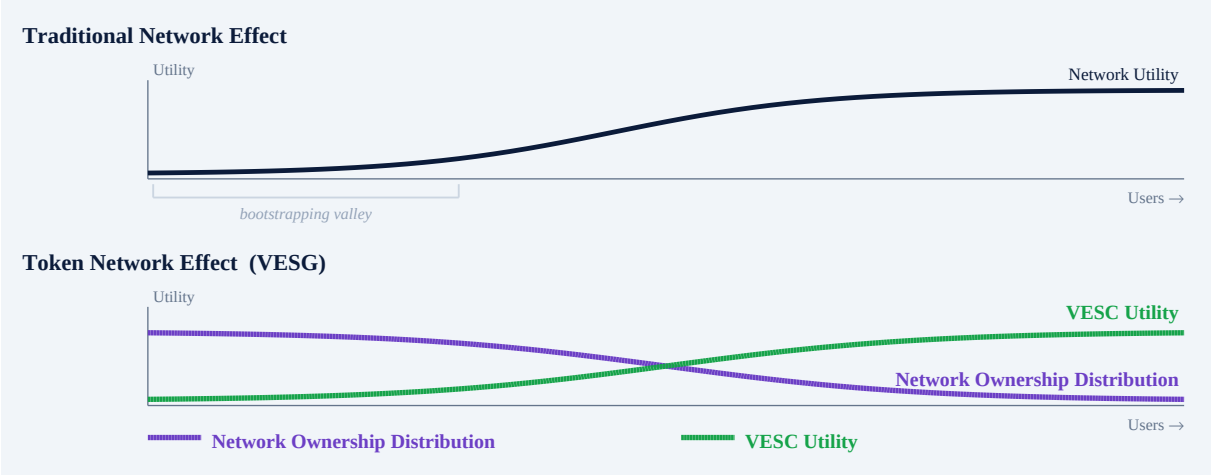
Exchange house	Offers VES/USD conversion via VESC vault	VESG on every burn routed
Fintech or bank	Settles cross-border payments at the real market rate	VESG on every burn routed
Developer	Builds payroll, escrow, or trade finance on top of VESC	VESG on every burn routed

The protocol treasury receives 50% of every fee in USDC, funding ongoing development and operations. The registered builder receives 50% in VESG. When no builder is registered, the builder share is burned permanently, reducing the total VESG supply. Every unregistered burn makes existing VESG scarcer.

> VESC IS A DEVELOPER PLATFORM.
> Register a dApp address. Route burns through it. Earn VESG automatically.
> No contracts. No negotiations. No middlemen. The protocol pays you on-chain.

Network Effect & Bootstrapping

Traditional networks suffer a bootstrapping problem: the first users get no benefit because there is no one else on the network yet. VESG inverts this. Early builders earn governance tokens at the highest rate ever, making the protocol most valuable to join before the crowd arrives — solving the chicken-and-egg problem with token incentives.



4. VESG and Governance

VESG is a governance token with a fixed supply of 100 million. It is never sold. The only way to acquire VESG is to build on the protocol. This ensures that when governance goes live, the people with the most votes are the ones who generated the most real economic activity on-chain.

VESG is mined through burn activity the same way Bitcoin is distributed through proof-of-work. A burn represents real economic activity: a Venezuelan family receiving a remittance, a merchant settling an invoice, an energy company moving dollars on-chain. The builder who routed that transaction earns VESG proportional to the volume they generate. The mining rate halves as the protocol reaches successive burn volume milestones, front-loading governance weight toward those who took the earliest risk.

Era	Unlocks at	VESG Available	Rate
Era 1	$50M in burns	50,000,000	1x (highest ever)
Era 2	$100M in burns	25,000,000	0.5x
Era 3	$200M in burns	12,500,000	0.25x
Era 4	$300M in burns	6,250,000	0.125x
Era 5	$500M in burns	6,250,000	0.0625x

Adoption Scenarios

The chart below illustrates three illustrative scenarios for VESG value over five years, based on protocol burn volume. These projections are for informational purposes only and do not constitute financial advice.

Governance is intentionally open

The V1 protocol is deliberately minimal. VESG governs protocol parameters in V2: fee rates, spread tiers, oracle architecture, treasury allocation, and the long-term economic rights of the token itself. None of these are decided unilaterally by the founding team. They are designed to be shaped collaboratively with the builders, institutions, and infrastructure partners who help this protocol reach scale. We are actively seeking partners who want to co-design the governance model alongside us.

> V2 GOVERNANCE SCOPE (open for co-design with institutional partners):
> Fee rate and treasury allocation
> VESG economic rights, if any
> Oracle architecture and decentralization roadmap
> Builder incentive structure and era parameters
> Cross-chain expansion and new currency pairs

5. Live on Base. Built to Scale.

VESC is live on Base Mainnet today. The vault contract and token are deployed and auditable on-chain. The protocol is built by **Coco Wallet**, a Y Combinator-backed startup that has been routing Venezuelan remittances through self-custody crypto wallets since 2023. Coco brings an active user base of diaspora already sending money to Venezuela, and will serve as the launch integration and anchor liquidity provider from day one.

Milestone	Status
VESCVault and VESCToken deployed on Base Mainnet	Live ✓
Oracle live. Real USD/VES rate on-chain every 15 min	Live ✓
Coco Wallet integration and first burns	March 2026
VESG deployed. Era 1 opens. Builder onboarding begins	May 2026
3 or more builders integrated. $15M in burn volume	Q3 2026
$50M in burns. Era 2 opens. V2 governance design begins	Q4 2026

Venezuela’s exchange problem is not a political problem. It is a trust problem. No institution can be trusted to set a fair rate. No middleman can be trusted to deliver funds without a cut. VESC replaces institutional trust with mathematical certainty: the vault holds the dollars, the oracle sets the rate, and the smart contract executes without discretion. The governance model that determines how this infrastructure scales is open. We are looking for the right partners to build it with us.

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